

Formalization of the Discretionary Market Microstructure Knowledge Base

Crypto and Russian Intraday / MFT-Style Research Framework

Repository knowledge-base synthesis prepared for Johnny

Sources: Russian scalping, prop-trading, and risk-management books plus transcript-derived video material

Document intent. This report translates the repository’s discretionary trading materials into explicit research language. It does not claim that every source idea is correct, current, or robust. Its purpose is to preserve the human logic, expose ambiguity, and map each idea into testable components for logging, replay, feature engineering, rule-based detection, and later ML overlays.

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1 Scope, Source Base, and Method

1.1 What This Document Is Trying to Do

The repository is not aiming to build a toy order-book bot. The intended system is a research and trading platform for intraday market microstructure work across two primary domains:

- crypto markets, with Bybit as the immediate live testing venue;
- Russian market instruments, especially those traded through T-Invest and the historical QScalp .OrdLog.qsh archive already stored in the repository.

The long-range goal is to move from informal discretionary pattern language toward:

- explicit event definitions;
- reproducible logging and replay;
- measurable features;
- rule-based setup detectors;
- practical live research loops;
- and only later, if the data becomes good enough, ML overlays that filter or rank already-defined patterns.

This report therefore does *three* jobs at once. First, it preserves the original human trading logic. Second, it organizes that logic into a coherent taxonomy. Third, it translates each idea into a research agenda that can be implemented in code and tested against data.

1.2 Source Inventory

The knowledge base is a mixture of books and transcript-derived video materials. The books provide higher-level structure and vocabulary; the transcripts contribute many of the practical details, caveats, and “how it actually feels on the tape” comments that are usually missing from books.

1.2.1 Books

Professional Scalping: Primary discretionary trading logic source for DOM, tape, clusters, densities, breakouts, bounces, POC, smart-money style framing, and robot behavior.

Prop Trading on MOEX: Operational and infrastructure framing for prop-style intraday trading on the Russian market, including risk control, broker relationships, colocation, and platform requirements.

Risk Management in Trading: Explicit risk-control framework for daily loss limits, per-trade risk, stop logic, leverage discipline, and the behavioral reasons traders break their own rules.

1.2.2 Transcript-Derived Video Materials

The transcript series contributes concrete tactical material on:

- densities;
- icebergs;
- tape and DOM configuration;
- robots;

- graph-plus-book interpretation;
- foundations for trades;
- bounce trades;
- breakout trades;
- trade potential, exits, and adds;
- decision logic;
- currency and futures specifics;
- limit-up / limit-down regimes;
- springs and stretched moves;
- news-driven behavior;
- and self-analysis of trading.

Two transcript files in the repository are effectively empty or near-empty:

- the volatility-harvesting lesson;
- the psychology lesson.

The relevant ideas from those topics were therefore reconstructed mostly from adjacent materials, not from fully populated transcripts.

1.3 Translation Philosophy

The source material is discretionary and heavily contextual. That matters. Many ideas are described in a way that makes perfect sense to an experienced human staring at a fast DOM, but not to a research pipeline. Phrases such as “clean level”, “good participant”, “price is being held”, “the book is empty”, or “today the instrument is moving properly” are meaningful, but they are not directly measurable.

The translation philosophy used in this report is:

1. preserve the original meaning instead of prematurely forcing false precision;
2. separate what is explicit from what is fuzzy;
3. identify observables, even if the threshold values remain open;
4. map discretionary logic into candidate state machines and feature groups;
5. state clearly when the available data is insufficient to test the full human concept.

1.4 Important Reliability Caveats

This report should *not* be read as proof that the described setups are profitable. It is a formalization of practitioner knowledge, not a performance report.

Several reliability issues must stay visible:

- The books and videos represent a specific trading style, with a strong DOM-and-tape bias.
- Some examples are tied to particular MOEX eras, liquidity profiles, and terminal workflows.
- The historical Russian archive in the repository is order-book only, old, and often sparse or low quality.

- A meaningful portion of the original edge may depend on data not present in that archive, especially trades, execution response, and hidden-liquidity inference.
- Human discretion often uses cross-context cues that are easy to mention and hard to encode. The right use of this document is therefore:
 - as a hypothesis map;
 - as a design document for logging and replay;
 - as a guide for detector implementation;
 - and as a record of what still requires live validation.

2 Foundations of the Trading Logic

2.1 Core Information Channels

Across the knowledge base, the market is read through four main channels.

Channel	What it shows	How the materials use it
Order book / DOM	Displayed resting liquidity and short-term microstructure geometry	Primary tool for identifying densities, visible defense, empty space, pull-and-push behavior, robot footprints, and where a short stop can be anchored.
Tape / prints	Aggressive trading flow and pace of execution	Used to judge whether a level is being hit with force, whether breakout fuel is real, and whether a defending participant is getting absorbed or refreshed.
Clusters / footprint	Executed historical volume at price	Used to distinguish mere displayed intent from actual prior business, to align PoC with levels, and to judge whether a zone has real memory.
Chart / session context	Higher-level structure across time	Used for levels, compression, previous highs and lows, range boundaries, session memory, and whether the intraday move has enough room or is already stretched.

One of the strongest recurring messages in the transcripts is that none of these channels should be used in isolation. The chart alone is too poor. The DOM alone is too easy to spoof or misread. Tape alone can be noisy. Clusters alone are backward-looking. The edge hypothesis is that good trades happen when these channels align.

2.2 Visible Liquidity, Hidden Liquidity, and “Real” Liquidity

2.2.1 Visible Liquidity

Visible liquidity is the displayed size currently sitting in the book. In the source vocabulary this usually appears as a density or large size. Visible liquidity matters because it changes local geometry:

- it can repel price;
- it can attract price as a magnet;
- it can define where other traders place stops or entries;

- it can become a public reference point that changes crowd behavior.

However, the knowledge base is explicit that visible size alone is not enough. A density is not a trade by itself. It must be interpreted through place, timing, recent motion, surrounding liquidity, and reaction when touched.

2.2.2 Hidden Liquidity

Hidden liquidity appears most clearly through iceberg logic and absorption logic. The key discretionary belief is that displayed size often understates true interest. If the same price keeps trading volume far beyond the displayed amount while the visible quote refreshes or refuses to disappear, traders infer a hidden participant.

This idea is central because it changes stop logic and confidence:

- a visible order may be flimsy;
- a refreshed hidden participant may be much stronger than it looks;
- a breakout through a price that was thought to contain hidden liquidity can become especially explosive because many traders were leaning against that level.

2.2.3 “Real” Versus Fake Liquidity

The books and transcripts never give a neat mathematical definition, but the practical distinction is clear. “Real” liquidity is size that remains behaviorally meaningful when price approaches it. Fake liquidity is size that disappears, shifts, or fails to produce the reaction implied by its apparent size.

Signs that liquidity is behaving more like real liquidity:

- it is placed at a structurally meaningful price;
- it has support behind it, not just a lonely quote in empty space;
- it persists through repeated approach;
- tape hits it heavily without immediate collapse;
- cluster history suggests prior business around the same area;
- the instrument and day regime are liquid enough for the size to matter.

Signs that liquidity is behaving more like fake or low-quality liquidity:

- it is far from any level that traders care about;
- it appears late after the move is already mostly done;
- it is isolated, with no structural support behind it;
- it is quickly canceled when touched;
- the tape slices through it with little friction;
- the instrument is thin enough that seemingly large size is not actually large for the regime.

2.3 Crowd Positioning and Stop Clusters

Another deep idea in the material is that the market is not just a book of prices and quantities. It is a map of probable trader pain. Obvious highs, lows, range edges, and visible defended levels attract not only entries but also stops.

This matters because breakout logic and fakeout logic are both built around the same fuel source:

- breakout logic says that once obvious stops start to fire, price can accelerate through thin space;
- fakeout logic says that once those stops are harvested, the move can exhaust and reverse if no genuine continuation demand remains.

So the same visual pattern can imply opposite trades. The difference is not the picture alone. The difference is whether there is still a live participant or flow imbalance after the stop run.

2.4 Compression, Springs, and Release

The materials repeatedly describe two related phenomena:

- **compression toward a level**, where price keeps pushing into the same zone with tightening structure;
- **spring or stretched state**, where price runs in one direction without normal pullback and becomes vulnerable to a snapback once a real counterforce appears.

Compression is bullish for breakout *if* the market keeps accepting higher prices into resistance and the opposing liquidity weakens or gets consumed. Compression is bearish for breakout *if* the structure is only crowd crowding without true initiative flow.

Springs are different. A spring is not automatically a trade. It only becomes tradable when there is a concrete opposing anchor such as:

- a meaningful density;
- a cluster/level memory zone;
- an iceberg;
- a known robot or participant behavior pattern;
- or an obvious exhaustion point after a one-sided burst.

2.5 Why Time of Day and Day Structure Matter

The source materials place major emphasis on today-specific calibration. A recurring practical belief is that the market does not offer the same opportunities every day, even in the same instrument. Some days favor bounces. Some days favor breakouts. Some days are noisy, empty, or dominated by fake motion.

This leads to an important research idea for the repository:

- use the first part of the session to estimate what is actually working *today*;
- treat setup quality as conditional on the current day regime, not as static;
- adapt aggressiveness, hold time, and setup preference by instrument-day context.

The knowledge base does not formalize this statistically, but it clearly points in that direction. This is one of the strongest candidates for later adaptive modeling once logging and replay are good enough.

2.6 Why the Same Pattern Can Mean Opposite Things

The books and transcripts repeatedly warn against cartoon pattern reading. The same visible event can carry opposite implications depending on context:

- a large ask can be real resistance or bait for a breakout;

- a push through highs can be true continuation or just stop collection;
- repeated tests can mean building pressure or weakening conviction;
- heavy aggressive buying can be initiative continuation or the last buyers finishing into a larger seller.

Therefore, context is not decoration. It is the decision layer that determines whether a local pattern is interpreted as:

- continuation,
- reversal,
- absorption,
- exhaustion,
- or no-trade noise.

2.7 Clean Versus Unclean Trades

Human traders in the source material often distinguish clean from unclean examples without giving a single numeric formula. A clean trade usually means:

- the anchor is obvious;
- the stop is short and behaviorally justified;
- the surrounding book is interpretable;
- the potential path is visible;
- confirming signals line up quickly;
- and the trader is not relying on hope or post-hoc rationalization.

An unclean trade usually means:

- too many contradictory signals;
- no precise invalidation;
- poor potential relative to risk;
- unclear participant logic;
- stretched late entry;
- or taking a local pattern without sufficient higher-level context.

That clean-versus-unclean distinction should be preserved in research form as a quality score rather than collapsed into a hard yes/no rule too early.

3 Detailed Setup Taxonomy

3.1 Setup Family Overview

Setup family	Primary expression	Main edge hypothesis
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Visible-liquidity bounce	Reversal from density / defended level	A real participant is willing to absorb opposing flow at a known price, allowing a tight stop and an asymmetric mean-reversion or rotation trade.
Visible-liquidity break-out	Consumption through density / level	Displayed defense is weaker than the market expected, and stop fuel plus empty space accelerate the move.
False breakout / failed continuation	Poke through level then return	Stops are harvested but no durable initiative flow remains, trapping late breakout traders.
Iceberg behavior	Hidden-liquidity defense or exhaustion	Refreshed hidden interest reveals a stronger participant than the visible book implies.
Absorption	Aggressive flow fails to move price materially	Initiative traders are being met by a larger passive participant.
Robot behavior	Repetitive algorithmic posting or lifting	The trader can temporarily piggyback on a detectable machine-driven process before it exhausts.
Spring / stretched-state reversal	One-way burst into anchor	A stretched local state snaps back once it meets meaningful resistance or defense.
News / volatility harvesting	Reaction trading after catalyst	News creates movement and opportunity; the trade is based on observed reaction, not semantic forecasting.
Leader-follower / guide instrument	Correlated or linked-instrument read-through	One instrument reveals the pressure or likely direction for another.
Cluster / PoC anchored logic	Executed-volume memory at price	Prior heavy business makes a zone behaviorally meaningful beyond current displayed size.

3.2 Bounce From Large Visible Liquidity or Defended Density

What the setup is. Price approaches a visible large resting order or battery of nearby resting orders and fails to move through it cleanly, producing a short-horizon reversal or bounce.

Why it is believed to work. The trade assumes a real participant is defending a price, or at least that enough traders believe the defense is real that price reacts before the level is fully consumed. The attractiveness of the setup comes from a precise invalidation point: if the defense disappears or gets eaten, the idea is wrong quickly.

Structural edge hypothesis. A defended level creates asymmetric risk because the trader can define the stop just beyond the defending participant, while the path away from the level may extend to the next cluster, opposing density, or session reference point.

Best regime. Liquid instruments with enough volatility to move after the defense holds, but not such chaotic conditions that the level is constantly skipped over. The setup is especially favored in the source material when the anchor is clear and the stop is very short.

When to enter. Entry is typically near the defending level after evidence that the order is still functioning: repeated hits without collapse, supportive liquidity behind it, or a visible

iceberg/refresh pattern. Some traders enter proactively into the level; others wait for a first rejection and then join the reversal.

When not to enter. Do not enter just because a large number is visible. Avoid isolated densities in empty books, late entries after the bounce already traveled, or cases where there is no supportive liquidity behind the visible order and therefore no clean stop anchor.

What to observe in the book. Size concentration at one or several nearby prices, persistence under attack, whether surrounding same-side liquidity remains supportive, whether opposite-side liquidity thins after rejection, and whether the visible level is static or keeps shifting.

What to observe in tape and prints. Large aggressive prints hitting the level without clean penetration are supportive for the bounce thesis. If aggressive flow keeps landing and the level still holds, hidden or stronger-than-visible defense becomes more plausible.

What to observe in price behavior. Repeated approach, hesitation, failure to gain acceptance beyond the level, and quick response away from the defended zone strengthen the case.

Typical development. Price approaches, trades into the level, pauses or compresses, then rotates away. The best examples travel far enough to justify partial profit on a first target and leave runner potential toward the next meaningful obstacle.

Typical confirming patterns. Alignment with chart support or resistance, nearby cluster PoC, iceberg refresh, spring-like prior stretch into the level, and strong opposing prints failing to make progress.

Typical invalidation patterns. The defense vanishes, gets eaten quickly, or holds initially but price does not leave the area and instead grinds through. Another invalidation is a bounce that cannot even clear minor nearby obstacles, showing weak response quality.

Likely traps and fake versions. A density can be spoofed, can be too small for the day regime, or can attract price only to disappear. Another trap is buying a “bounce” after price already bounced and the easy part is gone.

Stop logic. Stop belongs just beyond the defended participant or the last structurally meaningful same-side support. If the trader needs a wide discretionary stop, the setup is no longer the clean short-stop bounce described in the source material.

Exit and partial logic. Common practice is to take a first partial near the first reliable opposing obstacle and then decide whether the move has enough initiative to continue. The materials prefer taking what the market offers over demanding a heroic target.

Failure modes. Visible defense without hidden support, wrong size calibration for the instrument, taking the trade against a stronger higher-level context, or entering after the level has already been weakened by too many tests.

Clean versus unclean examples. A clean bounce has an obvious participant, a short stop, and visible room away from the level. An unclean bounce is based on vague hope, ambiguous book structure, or an anchor that is too small or too late.

Explicit versus fuzzy parts. Explicit pieces include the visible anchor, stop location, and local reaction. Fuzzy pieces include how much hidden size is really there, how many tests are too many, and what counts as enough room for continuation.

3.3 Breakout Through Density or Through a Well-Defined Level

What the setup is. Price pushes through a known level or dense visible order and then continues immediately into open space.

Why it is believed to work. The source logic says breakouts work when the market has both a trigger and fuel. The trigger is the actual consumption of a visible barrier or obvious level. The fuel is a mix of stop orders, trapped traders, and absence of immediate opposing liquidity behind the level.

Why the setup is considered harder than a bounce. The materials are blunt here: breakout trades are more difficult, faster, and less forgiving. A bounce gives a clearer stop. A breakout often requires instant judgment about whether the move is real.

Structural edge hypothesis. A level with public attention accumulates conditional order flow. Once the level gives way, continuation can be fast if there is true initiative pressure and the book behind the level is thin.

Best regime. Instruments that are actually moving, with clear larger-timeframe references and enough intraday energy to sustain expansion. The best examples occur when the market was already compressing into the level or when a visible defending order is visibly getting eaten.

When to enter. Typical entries are just before or during the final consumption of the defending order, or on the first acceptance beyond the level if continuation is immediate. Delay is costly because a bad breakout should be recognized very fast.

When not to enter. Do not trade breakouts in dead instruments, inside cluttered books, or into nearby opposing liquidity. Avoid levels that are obvious on the chart but unsupported by actual microstructure.

What to watch in the book. Whether the opposing density is static or weakening, whether same-side support steps closer, whether there is empty space behind the level, and whether new opposing size appears immediately beyond the trigger point.

What to watch in tape and prints. Initiative flow should hit the level with speed and continue after the breach. If the level is crossed but the tape loses urgency immediately, the breakout thesis weakens sharply.

What to watch in price behavior. Compression, repeated testing, tight range into the level, then immediate post-break acceleration. A slow lazy drift above the level is less convincing than a fast acceptance.

Typical confirming patterns. Repeated tests, shrinking pullbacks, visible last resistance getting consumed, correlated leaders moving the same way, and clear stop territory beyond the level.

Typical invalidation patterns. No instant follow-through, fast return into the range, or visible aggressive buying/selling that fails to keep the market beyond the breached area.

Likely traps and fake versions. Late participation after the move already launched, break-out into hidden opposing liquidity, and “chart-only breakouts” where the book never supported the idea.

Stop logic. Because breakout trades can fail quickly, the stop usually belongs near the failed acceptance point, back inside the old range, or behind the final consumed barrier. If the move stalls instantly, exit may happen even before a hard stop is reached.

Exit logic. Good breakouts should work soon. Partial exits can be taken into the first post-break opposing density or extension target. If continuation does not develop quickly, the source logic favors leaving rather than giving the trade too much room.

Interaction with context. Breakouts are stronger when the day already rewards trend extension, when leaders align, when news expands movement, or when a prior trapped side is clearly visible.

Algorithmically important ambiguity. The human notion of “it must go immediately” is central and should eventually become a measurable post-trigger acceptance window.

3.4 False Breakout and Failed Continuation

What the setup is. Price breaches a visible level or range boundary, triggers breakout participation or stop orders, and then returns back through the level instead of continuing.

Why it is believed to work. The false breakout setup exploits the asymmetry between public attention and true initiative flow. The crowd sees the trigger. The market briefly uses that trigger for liquidity. But if no durable demand or supply exists beyond it, the move reverses and traps the late participants.

Core logic. A breakout level can fail because the visible barrier was not the real obstacle, because the stop run exhausted the move, because a larger participant used the excursion to complete inventory, or because broader context did not support continuation.

What to observe. Fast poke through a level, poor follow-through, aggressive flow that does not carry price further, and a decisive return into the prior range.

Supporting clues. Repeated failed acceptance above/below the breached area, cluster history showing heavy business but no clean expansion, or a prior spring that makes the move look more like exhaustion than healthy initiation.

How humans recognize cleaner examples. Cleaner false breakouts often feel “too easy” to breakout traders: the level is obvious, the public trigger is visible, but the market cannot sustain price on the other side.

Stop logic. Stop generally belongs beyond the excursion extreme. Once the market re-enters the prior range convincingly, the invalidation point becomes much tighter than in a blind counter-trend fade.

Failure mode. The main danger is mistaking a normal shallow retest for failure. Entering against a true breakout too early is one of the fastest ways to get run over.

What remains fuzzy. The difference between brief pause and genuine failure depends on pace, tape quality, and day regime. That timing threshold is a major research target.

3.5 Iceberg-Like Behavior

What the setup is. A price level shows repeated replenishment or volume-throughput inconsistent with the visible resting amount, suggesting hidden liquidity.

Why it is believed to work. Icebergs reveal that the visible book understates true interest. If the trader correctly identifies a real iceberg, the level may be defended much more strongly than naive observers think.

Observed markers. Repeated refill of visible size, cluster or traded volume far exceeding the displayed amount, and persistence at one price despite continued interaction.

How it is traded. Two broad ways appear in the materials:

- trade *from* the iceberg as a defended anchor;
- trade the *failure* or exhaustion of the iceberg when it finally gives way.

Important nuance. The sources repeatedly warn that iceberg-highlighting software is helpful but imperfect. A highlight is not a proof. Visual confirmation and contextual understanding remain necessary.

When not to trust it. Possible false positives include fast reposting bots, fragmented visible quotes, and situations where throughput is large simply because the market is extremely active.

Stop and exit logic. If leaning on an iceberg, the stop belongs beyond the hidden participant's presumed defense zone. If trading its failure, the stop belongs back on the defended side after the market proves the iceberg is gone.

Research difficulty. Iceberg detection is especially hard in order-book-only data, because the strongest evidence comes from the relationship between displayed size and executed volume.

3.6 Liquidity Absorption

What the setup is. Aggressive orders continue to hit one side, but price does not travel proportionally. The market appears to be absorbing initiative flow.

Why it matters. Absorption often precedes either reversal or delayed breakout, depending on who is actually winning. It is therefore not a directional setup by itself but a critical interpretation layer.

Bullish or bearish? Absorption against aggressive buyers can be bearish if they cannot lift price. Absorption against aggressive sellers can be bullish if they cannot press price lower. But if the absorbing side is merely a staging area before continuation, the same picture can become a launching pad.

What to watch. Tape speed versus price progress, repeated hits at one price, whether the quote refreshes, and whether the absorbing zone eventually starts to repel price or instead suddenly caves.

How it usually develops. Price stalls near a key zone while one side keeps pressing. Then either:

- the aggressor exhausts and price rotates away; or
- the passive side is finally overwhelmed and the delayed break becomes forceful.

Why this setup is hard. Absorption is observationally rich but interpretation-heavy. The exact same tape can look like strong defense or like pre-break build-up. Context decides.

3.7 Tape-Based Aggression and Impulse Confirmation

What the setup is. Aggressive tape itself is not always the trigger, but it serves as confirmation that a local microstructure event has real initiative behind it.

Use in practice. The tape is used to answer questions such as:

- is the level being attacked seriously or only lightly;
- are prints speeding up;
- is the market lifting offers or hitting bids in meaningful size;
- is a move supported by real aggression or only by quotes shifting around.

How it combines with other setups. Tape aggression is a confirmation layer for breakouts, a stress test for defended levels, and a warning sign when a robot or visible density is about to stop working.

Key trap. Aggression without context can simply be the final emotional burst into a larger passive participant. Tape is a *force* measure, not an automatic direction measure.

3.8 Robot or Algorithm Behavior in the Book

What the setup is. A repetitive algorithmic pattern becomes visible through posting cadence, equal-size updates, predictable stepping, or repeated passive or aggressive behavior.

Why it is believed to work. The trader does not need to know the robot's ultimate objective. The exploitable part is that the robot temporarily makes behavior more regular and therefore more forecastable.

Typical signs. Plus-one stepping, repetitive same-size refreshing, continuous passive accumulation, or machine-like pushing that looks too regular for discretionary behavior.

How it is traded. The material strongly suggests “trade with the robot while it is still working.” That means piggybacking while the machine is still pressing or supporting, then exiting as soon as its influence weakens, gets absorbed, or the move becomes too stretched.

When not to trust it. Late recognition, weak robot footprint, crowded already-extended move, or obvious counterpressure. Robots evolve; there is no eternal static taxonomy.

Failure mode. A trader falls in love with the robot idea, holds after the behavior changes, and forgets that the edge existed only while the machine’s pattern remained active.

3.9 POC / Cluster-Anchored Setups

What the setup is. Executed-volume memory, especially PoC alignment, is used as an additional anchor for bounce or continuation logic.

Why it is believed to work. A zone with heavy executed business can mark genuine prior interest rather than merely displayed intent. When current book structure aligns with historical heavy business, the level gains credibility.

Strong version. Current density aligns with chart structure *and* recent cluster concentration. The same zone matters to both present and past participation.

Weak version. Current density appears but clusters show little historical business there, making the apparent level less trustworthy.

Research implication. Cluster-derived features should eventually complement live order-book and tape features, especially for Russian instruments where footprint-style memory was emphasized in the teaching material.

3.10 Spring or Stretched-State Reversal

What the setup is. A one-direction move extends so far without normal pullback that even a modest real counterforce can produce a sharp snapback.

Why it is believed to work. Once a move is stretched, participants are vulnerable: late chasers enter at bad prices, earlier participants may start taking profit, and a defending participant needs less help to trigger rotation.

Critical nuance. The spring is not the reason by itself. The materials explicitly warn that “the spring alone” is not sufficient. The trader still needs a real anchor such as density, iceberg, or meaningful structural level.

Best examples. Fast extension into a clear opposing zone, visible local exhaustion, then quick reaction.

Main trap. Trying to fade every strong move just because it feels stretched. Many strong trends keep going much farther than expected.

3.11 News and Volatility-Harvesting Trades

What the setup is. A news event or known catalyst creates a temporary expansion in movement and opportunity. The trade is based on the actual reaction in the book and tape, not on semantic prediction of the news headline.

Why it is believed to work. Catalysts increase participation, expand range, and create temporary disorder in which both breakout and reversal structures can become unusually profitable.

Practical rule from the material. Do not try to be a macro commentator. Treat news as a reason the market may move and then trade the observable microstructure.

Best uses. Breakout confirmation, fast impulse participation, volatility harvesting when the book becomes temporarily one-sided, or selective bounce trades after a news-driven overshoot into real liquidity.

Main dangers. Slippage, skipped levels, fake liquidity, and emotionally attractive but low-information chaos. News is opportunity, but also a fast path to undisciplined trading.

3.12 Leader-Follower, Guide-Instrument, and Correlation Logic

What the setup is. One instrument or market acts as a guide for another. The source materials mention this in currencies, futures, and broader correlated structures.

Why it is believed to work. Some instruments react first, or express the relevant pressure more cleanly. If the traded instrument is noisier or thinner, the leader can help interpret whether a local move is trustworthy.

Examples from the materials. Currency and futures complexes, RTS versus currency relationships, oil as a partial leader, and cases where a local DOM cannot be trusted in isolation because external references dominate the instrument.

What to watch. Short-lag directional agreement, divergence, whether the follower is delayed, and whether the local book behavior is consistent with what the leader suggests.

Research difficulty. This requires synchronized multi-instrument data and careful timestamp alignment. It is promising, but more demanding than single-instrument order-book studies.

3.13 Special Regime: Limit-Up / Limit-Down and Extreme Exchange Constraints

What the setup is. Exchange limits create a highly distorted environment in which normal microstructure logic becomes unreliable or dangerous.

Why it matters. The source material treats these situations as special-risk regimes rather than normal pattern territory. Traders can become trapped with limited exit routes, one-sided books, and violent squeezes.

Practical lesson. Do not apply ordinary discretionary templates mechanically inside exceptional exchange-constraint regimes. Special handling and conservative participation are required.

4 How Setups Combine and How Context Changes Interpretation

4.1 No Setup Lives Alone

The source material repeatedly rejects one-signal trading. The trader is not supposed to ask “is there a density?” The trader is supposed to ask:

- where is the density;
- what happened before it;
- who is likely trapped around it;
- what is the tape doing into it;
- what sits behind it;
- how stretched the move already is;
- and what kind of day this instrument is having.

That means the repo should treat setups as **composite states**, not isolated triggers.

4.2 A Bounce Can Become a Breakout

One of the most important transition patterns is that a defense can weaken over time. A level that initially offers a clean bounce may later become a breakout candidate if:

- repeated tests consume the same-side support;
- the defending participant refreshes less aggressively;
- compression keeps building into the level;
- the opposite side becomes more initiative-driven;
- nearby support behind the level disappears.

Research implication: detector logic should not tag a level once and freeze its role. The role of a level must be allowed to transition from defended anchor to vulnerable barrier.

4.3 A Breakout Can Become a False Breakout

Likewise, a valid breakout trigger can fail if post-break acceptance is weak. The repository should explicitly model a *post-trigger evaluation window*. That window needs to answer:

- did the market gain distance quickly enough;
- did the book behind the break remain supportive;
- did the tape continue in the break direction;
- did price hold beyond the level or immediately re-enter the prior range.

This is not a small nuance. It is central to the entire source worldview. Many of the same traders who like breakout trades also like fading failed breakouts. The transition itself is the opportunity.

4.4 Static Levels, Dynamic Liquidity, and Executed Flow

The knowledge base uses three different concepts of “level”:

1. **static chart level**: previous high, low, range edge, prior extreme;
2. **dynamic displayed level**: current density, shifting quote wall, robot layer;
3. **executed memory level**: cluster concentration, PoC, prior heavy business.

The best trades often occur when these three notions overlap. If only one of them exists, quality is usually lower.

4.5 Confidence and Quality as a Multi-Factor Score

The transcripts talk about needing several reasons for a trade. That idea translates naturally into a confidence model. An eventual research-friendly quality score could include:

- structural location quality;
- visible-liquidity quality;
- tape confirmation quality;
- cluster-memory quality;
- stretch or spring quality;
- room-to-target quality;
- day-regime fit;
- and execution quality, including spread and queue conditions.

This should not initially be over-optimized. A simple additive score or state-based filter is sufficient for early research.

4.6 Session Structure and Day-Specific Adaptation

The materials strongly imply a session-level feedback loop:

- observe the early session;
- learn whether visible levels are holding or failing today;
- learn whether the instrument is moving enough for breakouts;
- learn whether fakeouts dominate or whether continuation is clean;
- adapt participation accordingly.

This is one of the most valuable research directions in the repository because it connects discretionary intuition to systematic adaptation. Instead of assuming one static detector threshold forever, the system can maintain same-day priors such as:

- current breakout follow-through quality;
- current bounce hold rate;
- current spread and depth regime;
- current response to news or leaders;
- current instrument liveliness.

4.7 Time-of-Day Conditioning

The same local pattern should be interpreted differently depending on time of day:

- early session often contains the clearest structural information and strongest recalibration opportunity;
- midday may have lower conviction or thinner flow;
- event windows can create abnormal opportunity and abnormal risk;
- late session moves can be distorted by inventory squaring and reduced horizon.

For research purposes, time-of-day should not be a cosmetic feature. It should be a first-class conditioning variable.

4.8 Clean Decision Checklist

The human discretionary workflow implied by the materials can be written as a checklist:

1. Is the instrument liquid and moving enough right now?
2. Is there a meaningful structural location?
3. Is there visible or hidden participant logic at that location?
4. Does tape or executed flow confirm or contradict the local thesis?
5. Is the stop precise and behaviorally justified?
6. Is there room to the next meaningful obstacle?
7. Does the current day regime fit this setup family?
8. Is the execution environment acceptable?

If multiple answers are weak, the source material would usually classify the trade as low quality even if a single pattern component is present.

5 Risk Management and Execution

5.1 Risk Management Is the Constraint, Not the Decoration

The risk-management book is clear about a principle that should remain structurally visible in the repo:

Trading should be adapted to risk management, not risk management adapted to the trader's impulse of the day.

That principle matters even more in microstructure trading because:

- decisions happen fast;
- many opportunities appear in clusters;
- execution friction can hide real risk;
- and the psychological temptation to overtrade is unusually strong.

5.2 Per-Trade Risk and Per-Day Risk

The materials suggest a layered loss budget:

- define a daily acceptable loss based on real emotional and financial tolerance;
- derive per-trade risk from expected trading frequency;
- refuse trades whose natural stop does not fit that budget;
- stop the session once the daily limit is hit.

This is not presented as optional discipline. It is the base operating system of the trader.

5.3 Why Daily Stop Rules Matter So Much Here

Intraday microstructure trading generates many local opportunities and many opportunities to rationalize. The source material explicitly warns about revenge trading, loosening rules after a loss, and increasing size just because small planned profits feel emotionally unsatisfying.

That means the repository's eventual paper/live testing environment should include hard session controls such as:

- daily realized loss limit;
- daily number-of-trades guardrail;
- cool-down after a string of failed setups;
- and possibly setup-specific disable flags once performance degrades intraday.

5.4 Stop Logic

In the discretionary material, a stop is not a random distance. It is a statement about why the trade is wrong.

Examples:

- bounce trade: the defending participant is gone or overwhelmed;
- breakout trade: the market failed to accept beyond the trigger;
- iceberg trade: hidden defense did not exist or was exhausted;
- robot trade: the robot stopped working or got absorbed;
- spring reversal: the opposing anchor did not produce the expected response.

Research implication: stop placement should remain tied to event logic, not only to volatility normalization.

5.5 Take-Profit, Partials, and Adds

The materials favor practical exit management over heroic forecasting. Several themes repeat:

- take partial profit at the first reliable objective;
- let the remainder continue only if the move still behaves well;
- use adds selectively and only within the original risk framework;
- do not add just because the initial entry feels emotionally uncomfortable.

That suggests future execution research should separate:

- entry quality,

- management quality,
- and final exit quality.

5.6 Execution Tradeoffs: Market Versus Limit

Order type	Advantages	Risks and tradeoffs
Market order	Priority of execution, simplicity during fast moves, useful when timing is more important than a tiny price improvement	Slippage, unfavorable fills during volatility, and potential to pay the spread right when liquidity is poor.
Limit order	Better price control, potential maker economics, useful when leaning on a level or joining a defended participant	Non-fill risk, queue risk, adverse selection, and false confidence from a price that looks attractive but never actually fills.

In this trading style, the execution decision is part of the strategy, not merely an implementation detail.

5.7 Queue Position and Fill Uncertainty

The source material does not formalize queue math, but the logic is implicit. If many traders are leaning on the same visible density, queue priority matters. If the trader expects to use limit orders near defended levels, the eventual live system should track at least:

- whether the order was passive or aggressive;
- whether it received a full, partial, or no fill;
- how far price traveled without filling;
- and whether execution style degraded or improved realized expectancy.

5.8 Low-Liquidity Traps

Thin books create a nasty illusion:

- stops look small on paper;
- visible densities look large;
- but fills become uncertain and slippage becomes nonlinear.

This is one reason the source materials emphasize that “large” is instrument-specific and day-specific. Research code should therefore treat relative size and local liquidity context as more important than raw visible volume alone.

5.9 Why Discretionary Traders Overtrade

The materials imply several reasons:

- too many visually tempting local patterns;
- boredom during slower periods;
- frustration after missed moves;
- desire to recover losses quickly;

- emotional discomfort with small planned profits;
- and confusion between action and edge.

Automation can help here, not by removing judgment entirely, but by enforcing:

- session-level limits;
- setup definitions;
- entry gating;
- and structured review.

5.10 Crypto Versus Russian Market Execution Differences

5.10.1 Crypto

Crypto offers:

- longer trading hours;
- high public visibility of order books and trades;
- fast experimentation and easier continuous logging;
- but also exchange-specific quirks, variable liquidity quality, and event-driven jumps.

5.10.2 Russian Market / T-Invest / MOEX

Russian-market execution carries different constraints:

- session structure matters more explicitly;
- broker and infrastructure path matter more;
- some instruments may be heavily influenced by local participant behavior;
- and the repository's historical archive is particularly limited because it mainly reflects order-book data without complete trade flow.

5.11 Operational Risk in Prop-Style Environments

The MOEX prop book adds another layer:

- commission burden matters materially;
- infrastructure quality matters;
- colocation matters for serious intraday operations;
- integrated risk management is a business necessity, not only a trader preference.

For the repository direction, this means architecture choices should already anticipate:

- execution telemetry;
- per-session and per-strategy controls;
- and later integration between signal generation and hard risk guards.

6 Translation Into Algorithmic and Research Language

6.1 Data Requirements by Information Layer

To test the discretionary ideas faithfully, the platform ultimately needs more than snapshots.

Data source	Needed for	Comments
Order-book depth updates	Visible densities, imbalance, support behind a level, quote pull / push, local empty space, spread dynamics	Already central and available for both live connectors; historical Russian archive has only this layer.
Trades / prints	Aggression, absorption, throughput at a level, iceberg inference, initiative pace	Critical for many setups; absent from the old QSH historical archive used here.
Execution events	Fill quality, slippage, queue behavior, market versus limit studies, paper/live research	Needed later for real execution evaluation, not just signal study.
Instrument metadata	Tick size, lot size, venue, session schedule, trading status	Necessary for robust normalization and cross-venue comparability.
Cross-instrument feeds	Leader-follower logic, day context, external reference confirmation	Important but can be added after the single-instrument loop is reliable.

6.2 Event Model the Repository Should Support

The discretionary logic naturally maps to an event-driven architecture. Useful normalized event types include:

- order-book snapshot or delta;
- public trade print;
- market status;
- last price;
- execution report;
- session open / close / maintenance markers;
- and subscription or transport diagnostics for research reproducibility.

This is important because the system needs to support four modes with minimal rework:

- live logging;
- historical replay;
- feature generation;
- and strategy or detector evaluation.

6.3 Feature Families

The following feature families are implied by the knowledge base.

6.3.1 Order-Book Geometry

- spread;
- top-of-book imbalance;
- depth by distance from mid;
- largest resting level by side and distance;
- density concentration around candidate levels;
- persistence of visible size;
- and quote cancellation / replenishment behavior.

6.3.2 Local Price-State Features

- distance to recent high or low;
- short-horizon compression;
- number of tests of a level;
- extension from short-term fair area;
- and post-trigger acceptance or rejection distance.

6.3.3 Tape and Flow Features

- aggressive volume by side;
- print rate;
- burstiness;
- volume-through-level;
- and directional imbalance during trigger windows.

6.3.4 Session and Regime Features

- time of day;
- realized volatility so far today;
- current average spread and depth regime;
- current success rate of breakout-like versus bounce-like events;
- news windows;
- and whether the instrument is a leader or follower today.

6.4 Per-Setup Algorithmic Translation

Setup	Candidate signals	Minimum data	Main difficulty
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Density bounce	Large same-side level near price, local test, no penetration, bounce away by threshold	Order book, best bid/ask, optional trades	Distinguishing real defense from spoofing or random large quotes.
Breakout after compression	Tight pre-break range, repeated tests, level consumed, empty space, continuation after breach	Order book plus ideally trades	Defining the exact acceptance window and avoiding false breakouts.
False breakout	Breach of level followed by rapid return into range	Order book, price-state features, ideally trades	Telling normal retest apart from actual failure.
Iceberg defense	Volume-through-price greater than displayed liquidity, refreshed visible size, stable location	Order book plus trades	Hidden-liquidity inference is weak without prints.
Absorption	Aggression remains high but price progress is small	Trades plus order book	Same signature can precede reversal or delayed continuation.
Robot behavior	Repetitive update cadence, equal-size stepping, persistent one-sided machine-like posting	High-frequency order-book updates	Pattern stability is regime-dependent and non-stationary.
Spring reversal	One-way extension into meaningful anchor then fast counter-move	Order book, price-state features, optional trades	Many stretched moves continue further; anchor quality is decisive.
Leader-follower	Short-lag direction / imbalance relation between instruments	Multi-instrument synchronized feeds	Timestamp alignment and changing causal relations.

6.5 State-Machine View

Many discretionary patterns can be translated into a state machine. For example, a breakout candidate can be modeled as:

1. **Context state:** instrument is active enough and near a meaningful level;
2. **Build-up state:** repeated testing or compression toward the level;
3. **Trigger state:** level is consumed or crossed;
4. **Validation state:** post-trigger acceptance and flow support;
5. **Outcome state:** continuation, stall, or failed breakout reversal.

The same architecture can be used for bounce logic:

1. context;
2. approach;
3. defense observation;
4. rejection confirmation;

5. rotation or failure.

This is likely better than trying to force the entire human trading process into one monolithic formula.

6.6 What Is Still Hard to Encode

Several concepts remain stubbornly fuzzy:

- “clean” versus “dirty” order book behavior;
- real versus fake density without strong print data;
- “robot is still working” versus “robot is finished”;
- level quality based on tacit prior experience with an instrument;
- and day-specific intuition such as “today this paper is trading properly”.

These are exactly the places where ML *may* help later, but only after:

- event definitions are stable;
- logging is rich enough;
- and simple rule-based baselines already exist.

6.7 Where ML Could Help Later, and Where It Should Not Start

The correct later use of ML in this project is not to discover the entire strategy from poor data. It is to improve decisions around already-defined microstructure events. Examples:

- classify whether a candidate event is more likely bounce, breakout, or fakeout;
- rank trade quality;
- decide whether to take or skip;
- adapt thresholds to the current instrument-day regime;
- estimate follow-through quality after a trigger.

What ML should *not* do at the current stage:

- replace logging and replay work;
- pretend the sparse historical archive is enough ground truth;
- or bypass the need to understand the setups structurally.

7 Historical Data Limits, Live Logging, and Research Roadmap

7.1 What the Historical Russian Archive Can and Cannot Support

The repository contains a large archive of historical Russian `.OrdLog.qsh` files. That is useful, but it is not a gold-standard research dataset.

7.1.1 What it can support

- book-shape studies;
- visible-liquidity reaction studies;
- spread and depth regime statistics;

- compression and range-state features based on top-of-book and local depth;
- first-pass order-book-only backtests of simple level reactions.

7.1.2 What it cannot fully support

- clean tape-based aggression studies;
- robust iceberg confirmation;
- execution-quality analysis;
- hidden-liquidity inference with confidence;
- full breakout fuel analysis based on prints and stop runs.

7.1.3 Why caution is necessary

- The data is old.
- Many books are sparse or nearly empty.
- Quality is uneven across instruments and days.
- It reflects a different market era and possibly different microstructure ecology.

Therefore, any backtest result from this archive should be treated as a rough structural hint, not validation in the strong sense.

7.2 Why Live Logging Is Mandatory

Because the historical archive is limited, the repository must build a parallel live-research loop. This is not optional. Without live data collection, the project would be formalizing ideas faster than it can verify them.

The live loop should support:

- raw event capture;
- normalized event streams;
- replay on saved sessions;
- feature generation;
- detector evaluation;
- and later paper trading and live execution telemetry.

7.3 Why Both Bybit and T-Invest Matter

7.3.1 Bybit

Bybit is the easiest venue for immediate continuous logging and live experimentation. It provides:

- active public order-book and trade streams;
- relatively easy iteration;
- demo private execution connectivity for future testing;
- and a practical environment for building the ingestion and replay pipeline.

7.3.2 T-Invest / Russian Market

T-Invest matters because the knowledge base is heavily grounded in Russian prop-style order-book reading. Even if the initial live loop is less convenient due to session constraints, instrument resolution, and API details, it remains necessary if the repository is going to study the original trading domain rather than drift into a crypto-only system.

7.4 Repository Direction Implied by the Knowledge Base

The document and the codebase should evolve in the following order:

1. formalize the setups and their ambiguity;
2. capture live data cleanly;
3. replay and inspect both live and historical sessions;
4. test simple structural hypotheses first;
5. implement baseline rule-based detectors;
6. compare live observations against historical assumptions;
7. only after that consider adaptive ranking or ML overlays.

7.5 Current Repository Anchors

At the current repository stage, the architecture should stay legible and responsibility-driven:

- **knowledge_base/**: source books, transcript material, and the formalized research document;
- **orderbook_viewer/**: QSH order-book browsing, visualization, and broker-comparison tools for historical book inspection;
- **market_data/**: active Bybit and T-Invest live capture, normalized event writing, and replay helpers for new research-grade data;
- **data_capture/**: timestamped live session outputs with raw and normalized streams;
- **legacy/**: archived runtime drafts that are preserved for reference but are not the active path.

This separation matters because the project should not blur:

- historical book inspection,
- live data ingestion,
- research formalization,
- and later detector or execution logic.

7.6 Immediate Research Questions Worth Testing First

The strongest simple questions suggested by the materials are:

- Does large visible same-side liquidity near the touch point correlate with short-term bounce probability?
- Does visible density removal or consumption after compression correlate with continuation?
- Does immediate return into range after a breach reliably identify poor breakout follow-through?

- Are there coarse time-of-day effects on bounce quality versus breakout quality?
- Does same-day setup performance appear stable enough to justify intraday adaptation?

7.7 Proposed Platform Layers

Layer	Purpose
Ingestion	Venue-specific connectors for Bybit and T-Invest, preserving raw payloads and writing normalized events.
Storage	Session manifests, raw capture, normalized streams, and replay-friendly layout.
Replay	Deterministic iteration over saved sessions and historical QSH order-book snapshots.
Features	Book geometry, spread, imbalance, range state, time-of-day, and later tape or leader-follower features.
Detectors	Explicit rule-based setup logic such as density bounce, compression breakout, and failed breakout.
Analytics	Summary statistics, example extraction, detector hit-rate review, and day-level regime analysis.
Execution / pa- per layer	Later module for signal taking, skip logic, and execution telemetry.

7.8 Today-Specific Adaptation as a Research Priority

One particularly strong future direction, directly supported by the source logic, is intraday adaptation. The system should eventually estimate things such as:

- whether breakouts are following through today;
- whether visible levels are being respected today;
- whether the instrument is too empty for certain setups;
- whether leader-follower logic is behaving reliably today;
- whether execution conditions are stable enough to participate.

This should be treated as an architecture requirement now, even if only a simple baseline version is implemented initially.

8 Open Questions, Ambiguities, and Likely Failure Points

8.1 Concepts That Are Useful but Still Fuzzy

Several ideas in the knowledge base are undeniably valuable, but still too fuzzy to treat as fully specified rules:

- “real” versus “fake” density;
- “clean” versus “unclean” trade examples;
- whether a robot is still active or already done;
- how much post-break delay is still acceptable before calling failure;
- how many tests weaken a level enough to invalidate bounce logic;

- what counts as meaningful support behind a visible order.

These should remain explicitly marked as ambiguous in the research code and documentation.

8.2 Potential Contradictions Inside the Source Worldview

The materials are mostly coherent, but several tensions exist:

- visible size is treated as critical, yet also treated as easy to fake;
- heavy aggression can confirm continuation, yet also mark exhaustion;
- repeated tests can strengthen a breakout thesis, yet too many tests can degrade level quality;
- strong trends invite breakout participation, yet stretched movement invites spring reversals.

These are not fatal contradictions. They mean the state space is conditional, not binary.

8.3 Ideas That Need Empirical Testing Most Urgently

1. Whether visible-liquidity bounce logic survives modern crypto and modern Russian-market conditions.
2. Whether order-book-only archive data is sufficient to say anything useful about breakout versus fakeout transitions.
3. Whether simple day-specific adaptation materially improves detector quality.
4. Whether robot-like patterns can be detected robustly enough to trade systematically rather than anecdotally.
5. Whether cluster-memory alignment adds measurable signal once live logging is rich enough.

8.4 What May Be Outdated

Some parts of the materials may be era-specific:

- terminal-specific workflow assumptions;
- size thresholds calibrated to older MOEX liquidity conditions;
- participant behavior patterns that have changed;
- and infrastructure assumptions that matter differently in crypto.

The repo should preserve the ideas but not worship their original numeric details.

8.5 Practical Conclusion

The knowledge base is strongest when treated as a practitioner hypothesis library. Its main value is not that it hands over a finished algorithm. Its value is that it tells the repository where to look:

- at defended liquidity,
- at compression and release,
- at the relation between displayed size and aggressive flow,
- at participant behavior patterns,
- and at day-specific adaptation.

The correct next step is therefore not “optimize a final strategy”. The correct next step is to keep building a platform that can:

- log cleanly,
- replay honestly,
- detect simple patterns explicitly,
- and compare historical assumptions against live observation.

A Source Appendix

A.1 Books Used

- *Professional Scalping*
- *Prop Trading on MOEX*
- *Risk Management in Trading*

A.2 Transcript Topics Used

1. Introduction and what the order book is
2. Densities
3. Icebergs
4. DOM setup
5. Robots
6. Graphs and levels in relation to the book
7. Foundations for trades
8. Bounce trades
9. Trade potential, exits, and adds
10. Decision logic
11. Bounce trade review
12. Breakout trades
13. Trades from robots
14. Currency and futures specifics
15. Limit-up / limit-down conditions
16. Spring trades
17. Volatility harvesting (transcript file mostly empty)
18. News trades
19. Analysis of one’s own trading
20. Psychology (transcript file mostly empty)

A.3 Methodological Note

The report is written in English while the source material is mostly in Russian. Translation prioritized preservation of trading meaning over literal wording. When the original materials were vague, the report keeps that vagueness visible instead of pretending to have stronger precision than the sources actually support.